Nov 2026 attempt

Ind AS 103 & 110 — Consolidation

103 = Day 1, the purchase (goodwill, NCI). **110** = every day after (consolidate, stake changes, loss of control).

1 Is it a business combination? 103 · 3 · B7

- → ***Business*** = *inputs + a **substantive process** that together can contribute to outputs. Optional **concentration test**: substantially all FV in one asset (or group of similar assets) → **not** a business.*
- → *Not a business → **asset acquisition**: spread cost by relative FV · **no goodwill** · no deferred tax on initial recognition.*
- → ***Acquirer** = whoever gets control (Ind AS 110). **Reverse acquisition**: the company that legally issues shares is the accounting **acquiree**.*
- → ***Acquisition date** = date control passes. ~~agreement date~~ ~~payment date~~*

2 Goodwill 103 · 32

Goodwill = Consideration + NCI + FV of earlier stake − Net identifiable assets (all at FV, on acquisition date)

*Negative → recheck all figures → still negative = **bargain purchase**: clear reason → **OCI** → **capital reserve**; no clear reason → **directly to capital reserve**. **Never P&L.*** 34–36

NCI method	How the question gives it	Goodwill
Fair value	*NCI shares × market price · or consideration ÷ P% × NCI%*	*Full (P's + NCI's share)*
Proportionate	*NCI% × net identifiable assets*	*Partial (P's share only)*

3 Consideration — what goes in 37–53

Question says	Take as consideration	Also
Cash	*Amount paid*	*–*
Shares issued	*No. × **market price** on acq. date*	*Face value → share capital; rest → securities premium*
Pay later (deferred)	***Present value***	*Each year: liability × rate → finance cost; liability grows*
Contingent consideration	***FV** on acq. date*	*Later change: equity → no remeasurement · liability → **P&L** (goodwill unchanged)*
Legal / due-diligence fees	***Not consideration***	*Expense. Inside the investment? Take it out. Share issue cost → equity.*
Pay to sellers who must stay employed	***Not consideration***	*Post-combination employee cost*
Settles an old dispute / contract	***Not consideration***	*Separate settlement; gain/loss to P&L*

4 Identifiable assets & liabilities 10-31 · 45

- → All at **FV** — including intangibles S never recorded (brand, customer list) **if separable or contractual**.
- → **Contingent liability**: recognise if **present obligation + FV reliable**, even if outflow **not probable** 23 (unlike Ind AS 37).
- → Use their own standard: deferred tax (12), employee benefits (19), held for sale (105, FV less cost to sell), leases (116), share-based payment (102), indemnification assets, reacquired rights.
- → **Measurement period ≤ 12 months**: new info about Day-1 facts → adjust provisional figures **and goodwill** retrospectively.

5 Step acquisition 103 · 41–42

- → Held a stake, then buy more and get control → **acquisition date = control date**.
- → Remeasure old stake at **FV on control date**; gain/loss → **P&L** (FVOCI stake: stays in OCI, may move within equity).
- → That FV goes into the goodwill formula.

SM Illustration S: 30% associate (carrying ₹100 lakh, FV ₹300 lakh) + buy 70% for ₹700 lakh; net assets ₹800 lakh → **Goodwill = 700 + 300 − 800 = 200** · gain on old stake 300 − 100 = **200 to P&L**.

6 Common control — Appendix C 103 App C

	Normal combination	Common control (sister companies)
Method	Acquisition method	**Pooling of interests**
Assets & liabilities	Fair value	**Carrying amounts** (only harmonise policies)
Goodwill	Yes	**None**
Difference	Goodwill / capital reserve	Consideration vs transferor's **share capital** → **capital reserve**
Comparatives	From acquisition date	**Restated** as if combined from start of earliest period shown (or from when common control began, if later)

THEORY MARKS

7 Control = Power + Returns + Link 110 · 7 · B2

All *three* needed: *power* over relevant activities + exposure to *variable returns* + ability to use the power to *affect those returns.*

Point	Rule
Relevant activities	Activities that significantly affect returns. Different investors direct different ones → the one directing the **most significant** has power.
Substantive vs **protective** rights	Only substantive rights (practical ability to exercise) count. Protective rights (veto on fundamental changes) **never** give power.
Potential voting rights	Count only if **substantive** (usually exercisable now, not deep out of the money).
Less than 50% votes	**De facto control** possible: large holding vs many small, dispersed holders; voting patterns.
Agent vs principal	A decision-maker acting as **agent** doesn't control.
Reassess	Whenever facts show a change in any of the three elements.

8 Who need not consolidate 110 · 4 · 31

→ **Exempt** only if **all four**: (i) S of another entity, owners informed & don't object · (ii) not listed · (iii) not filing to list · (iv) its parent publishes Ind AS consolidated FS.

→ **Investment entity**: measures subsidiaries at **FVTPL**, except subsidiaries giving investment-related services.

→ Post-employment benefit plans (gratuity trust) → Ind AS 19, not consolidated.

✍ **Write in exam**

"As per para 7 of Ind AS 110, an investor controls an investee if and only if it has power over the investee, exposure or rights to variable returns from its involvement, and the ability to use its power to affect the amount of its returns. Since all three elements are present / absent, X Ltd. does / does not control Y Ltd."

9 Every answer = 5 working notes, in this order

WN	What	Formula
1	S's reserves: pre & post	Pre = balance on acq. date · Post = Closing − Pre − adjustments
2	Net assets on acq. date	S's share capital + Pre-acq reserves ± FV changes − S's own goodwill
3	Goodwill / capital reserve	Consideration + NCI + FV of old stake − WN 2
4	NCI at year end	NCI on acq. date + NCI% × Post − NCI% × GW impairment (FV method only)
5	Group other equity	P's reserves + P% × Post ± items P bears alone

Balance sheet line = P + S ± FV change ± intra-group cancellation. **Only P's share capital** appears.

10 Splitting S's reserves — the passbook

Write S's RE like a **bank passbook**: events in **date order** with a running balance.

1. Profit earned in the year = **Closing − Opening + Dividend paid** (dividend went out, so put it back).
2. Spread it evenly over the months (unless told it's seasonal).
3. Put each dividend on **its date**. The running balance must end at the closing RE ✓.
4. **Pre-acq = balance on acquisition date.** Post-acq = Closing − Pre-acq.

SM TYK 5 — Ram buys 60% of Krishan on 1 Oct; dividend ₹40,000 paid 1 Nov

Earned = 1,64,000 − 60,000 + 40,000 = 1,44,000 → 72,000 per half year.

Date	Event	Change	Balance
1 Apr	Opening		60,000
Apr–Sep	Profit	+72,000	1,32,000
1 Oct	**Ram buys**		**1,32,000 = PRE**
1 Nov	Dividend	−40,000	92,000
Oct–Mar	Profit	+72,000	1,64,000 ✓

Post-acq = 1,64,000 − 1,32,000 = **32,000**. Ram's ₹24,000 dividend: **leave it in Ram's RE**. Check: 24,000 + 60% × 32,000 = 43,200 = 60% × 72,000 ✓ nothing lost, nothing double.

11 Dividends — only the date matters

Situation	Treatment
Paid **before** P bought	Before "P buys" in the passbook → lowers pre-acq. P got nothing.
Paid **after** P bought (any profit)	After "P buys" → lowers post-acq. **Keep** P's dividend income.
Declared, **unpaid** at year end	As above + cancel P's receivable vs P's share of payable. **NCI's share stays** as a liability.
Proposed, approved **after** year end	**Ignore** (Ind AS 10 · 12). Not in the passbook.
Declared but "not accounted" by anyone	State assumption: ignore / declared unpaid / paid. ICAI accepted all three (PYQ May 2024).

⚠ TRAP

ICAI's printed answers write it another way: take the dividend out of **pre-acq** and take P's share out of **P's RE**. Same final figures. **Pick one way — never both** (that counts it twice).

12 Fair value changes — each goes to 3 places

FV change = FV − Book value, both on the acquisition date

Item	Net assets (WN 2)	Post-acq profit (WN 1)	Balance sheet line
PPE worth more	+ increase	− extra dep (months held)	+ increase − extra dep
PPE overvalued	− decrease	+ dep saved	− decrease + dep saved
Land worth more	+ increase	nothing	+ increase
Brand not in S's books	+ value	− amortisation	New intangible
Goodwill in S's own books	− remove	nothing	Not shown
Inventory, still unsold	± change	nothing	± change
Inventory, sold in year	± change	reverse (cost of sales)	nothing
Liability worth more	− increase	nothing till settled	+ to liability
Contingent liability	− FV	reverse if no payment	Liability / nil

ICAI: PYQ Nov 2024 (PPE +300, dep 30; inventory −300 kept) · SM TYK 8 (building 300 ÷ 20 = 15; inventory sold → reversed) · PYQ Sep 2025 (machinery overvalued; S's goodwill removed) · PYQ Jan 2026 (brand ₹8 lakh ÷ 10) · RTP Nov 2023 (contingent liability reversed).

13 FV given as a total value on a mid-year date

"FV of P&M on 1 Oct was ₹4,00,000; depreciation 10%." Only the 31 Mar book value (₹2,70,000) is given. — SM TYK 5

1. Book value on 1 Oct: opening 2,70,000 + 30,000 = 3,00,000 − 6 months' dep 15,000 = **2,85,000**
2. Increase = 4,00,000 − 2,85,000 = **1,15,000**
3. Extra dep = dep on FV for 6 months (20,000) − dep S charged (15,000) = **5,000**

⚠ TRAP

4,00,000 − 2,70,000 is **wrong**: it compares a 1 Oct value with a 31 Mar value.

14 Intra-group items — cancel, then ask who bears it

Item	Do	Who bears
Goods **P** → **S** in S's stock	Remove profit from inventory	**P only**
Goods **S** → **P** in P's stock	Remove profit from inventory	S's post-acq (P + NCI)
Machine sold in group	Remove gain; add back extra dep on it	The seller
Receivable / payable	Cancel what both show; cash in transit → add to cash first	Nobody
Bills	Cancel bills still held; **discounted** bills stay (owed to bank)	Nobody
P holds S's debentures / pref. shares	Cancel at face value; excess paid = loss	Group RE; outside pref. → NCI
Goods P → associate	Remove only P%, from the investment	Group RE

"Cost + 25%" → price × 25/125 · "20% on sales" → price × 20%

15 NCI and group equity

NCI at year end

NCI on acq. date + NCI% × post-acq profit

− NCI% × GW impairment **(FV method only)**

+ S's pref. shares held by outsiders

Can go **negative** — losses still go to NCI B94

Items P bears alone (WN 5)

Profit on goods/machines **P sold** to S

GW impairment (all, or P% under FV)

Loss on S's debentures/pref. held by P

Interest on deferred consideration

+ Gain on old stake · + share of associate

16 Special structures

Structure	Rule
Chain P → S → T	P in T = P% × S%; NCI in T = rest. T's goodwill uses S's cost × P%. S's NCI reduced by S's cost of T × S's NCI%. (SM Illus. 29: 80% × 75% = 60%)
Associate inside the group	One line, equity method: cost + P% × post-acq profit. Cost below P% of net assets → capital reserve. (PYQ May 2024)
Bonus issue by S	No effect — moves reserves to share capital inside S. (PYQ May 2024)
Different year ends	Max **3 months** gap; adjust for big transactions. Classify current/non-current by **group** date. B92-93
Different policies	Align to group policy for like transactions. Depreciation **method** is an estimate, not a policy. (SM Illus. 6–7)

17 Five checks before you move on

#	Check	Proof on ICAI's PYQ Nov 2024 (₹ lakh)
1	Every point used (tick a tracker)	7 points + debentures found only in the balance sheet
2	Balance sheet agrees	34,875 = 34,875
3	**NCI = NCI% × (S's closing equity + FV changes left − upstream profit) + NCI's goodwill**	20% × (9,000 + 270 − 300) = 1,794 + (1,450 − 1,400) − 20 = **1,824** ✓
4	Goodwill split: P's = Cost − P% × WN 2	(5,800 − 5,600) + (1,450 − 1,400) = **250** ✓
5	Each cancellation equal both sides	Receivable 160 = payable 120 + cheque 40 ✓

Check 3 passes → your pre/post split, dividend, FV and NCI are ***all right.*** (Also proves SM TYK 5: 40% × 10,84,000 = 4,33,600.)

18 If you get stuck

→ Look at the tracker: unticked = left to do; ticked = done, don't redo.

→ Unclear fact → write **one assumption line**, move on. Doesn't agree after 3 min → finish the rest. **Never force a balancing figure.**

19 After Day 1: does P still control?

After the deal	Consolidated FS	P's separate FS
Still controls	*Equity transaction · **no P&L** · goodwill unchanged* 23 · B96	*Gain = price − cost × % sold*
Control lost	*Gain/loss in **P&L**; stake kept at **FV*** 25 · B98	*Gain = price − cost of shares sold*

Sell, still control: Other equity = Cash − % sold × (Net assets + Goodwill)

Buy from NCI: Other equity = NCI × (% bought ÷ NCI%) − Cash paid

Control lost: Gain = Cash + FV of stake kept − (Net assets + Goodwill − NCI)

ICAI question	Working
SM Illus. 25 — sell 40% of 100%, keep control	*Group: 900 − 40% × 1,800 = **180 to equity** · Own FS: 900 − 400 = 500*
SM Illus. 23 — buy 10% more of 70%	*6,600 ÷ 30 × 10 = 2,200 vs 2,600 paid → **400 debit equity***
SM Illus. 32 — sell 60%, keep 40% associate	*67.5 + 45 − 90 = **22.5 gain** (incl. 9 from remeasuring the 40%)*
PYQ May 2023 — sell 80%, keep 20%	*114 + 28.5 − (120 + 15) = **7.5 gain***
SM Illus. 30 — S issues shares, P 60% → 40%	*Deemed disposal: 360 − (450 + 20 − 180) = **70 gain***
SM Illus. 34 — sell 25% then 55%, linked	*One transaction: 8,00,000 − (9,00,000 − 1,80,000) = **80,000 gain***

20 Loss of control — step by step B98–B99

1. *Remove S's assets, liabilities **and goodwill**; remove NCI.*
2. *Bring in cash received and the **stake kept at FV** (= cost of associate / Ind AS 109 asset).*
3. *OCI: P's share of **FCTR** → **P&L**; **revaluation surplus** → **RE** directly. NCI's FCTR leaves with NCI.*
4. *Difference → P&L. Disclose the part from remeasuring the stake kept.*

***PYQ May 2026 MCQ 3** (sell all 90%): 2,000 − (1,500 − 200) + FCTR 270 = **970 (A)** — my working; ICAI's answer not yet published.*

⚠ TRAP

***Linked sales** are one deal if: same time / in view of each other · one commercial effect · one depends on the other · one isn't economic alone. **SM TYK 10** keeps the 10% at carrying value (₹128 thousand) as no FV is given — Ind AS 110 · 25 needs **FV**; use it when given.*

21 Separate FS of P — Ind AS 27 10–12

→ *Investments in S, associates, JVs at **cost** or **Ind AS 109** — same choice per category.*

→ *Dividend from S → **P&L when right to receive is established** (shareholder approval).*

22 SM TYK 5 — Ram Ltd. (60%) & Krishan Ltd., acquired 1 Oct 20X1

Krishan 31 Mar: share capital 4,00,000 · other reserves 2,00,000 (unchanged) · RE 1,64,000 (60,000 on 1 Apr; 10% dividend paid 1 Nov; Ram credited its share to RE) · P&M 2,70,000 (FV 4,00,000 on 1 Oct; dep 10%) · FV increases on 1 Oct: L&B 2,00,000, inventory 30,000, trade payables 20,000 (both still outstanding) · Ram's cost 8,00,000 · Ram's RE 1,14,400 · NCI proportionate.

WN	Working	₹
1 Passbook	Pre = 60,000 + 72,000 (dividend 1 Nov is after 1 Oct)	1,32,000
	Post = 1,64,000 − 1,32,000 − extra dep 5,000	27,000
2 Net assets	4,00,000 + 2,00,000 + 1,32,000 + FV (2,00,000 + 1,15,000 + 30,000 − 20,000)	10,57,000
3 Goodwill	8,00,000 + NCI 40% × 10,57,000 (4,22,800) − 10,57,000	1,65,800
4 NCI	4,22,800 + 40% × 27,000	4,33,600
5 Group RE	1,14,400 + 60% × 27,000 (Ram's 24,000 kept)	1,30,600
Other equity	Other reserves 6,00,000 + RE 1,30,600	7,30,600

Consolidated balance sheet line	Working	₹
Land & Buildings	3,00,000 + 3,60,000 + 2,00,000	8,60,000
Plant & Machinery	4,80,000 + 2,70,000 + 1,15,000 − 5,000	8,60,000
Goodwill	WN 3	1,65,800
Inventories	2,40,000 + 72,800 + 30,000	3,42,800
Trade receivables · Cash	1,99,600 · 45,000	2,44,600
Total assets		**24,73,200**
Share capital (Ram) · Other equity · NCI	10,00,000 + 7,30,600 + 4,33,600	21,64,200
Trade payables · Bank overdraft	(94,200 + 34,800 + 20,000) + 1,60,000	3,09,000
Total		**24,73,200**

All figures match ICAI's printed answer. ICAI writes WN 5 as 1,14,400 − 24,000 + 60% × 67,000 = 1,30,600 (same result, other route).

23 Key figures to self-check other ICAI questions

Question	Key figures
PYQ Nov 2024 Q1	Goodwill 250 → 150 · NCI 1,824 · Other equity 16,292 (20% on cost) / 16,297 (on sales) · Total 34,875 / 34,880
SM TYK 4 (DEF/XYZ)	P&M uplift 5,75,000 · extra dep 25,000 · bargain purchase 18,85,000 · RE 7,07,000 · Total 1,15,37,000
PYQ Jan 2026 Q1	Consideration 32.50 · Goodwill 20 → 15 · NCI 7.56 · RE 11.79 · Total 150.80 (₹ lakh)
PYQ Nov 2022 Q1 (chain)	Capital reserve 658 · NCI 581.70 · Total 7,833 (₹ lakh)

> ✍ **Write in exam**
> "As per para 32 of Ind AS 103, goodwill is the excess of consideration transferred plus NCI plus fair value of the previously held interest over the net identifiable assets measured at fair value on the acquisition date." · "As per para 23 of Ind AS 110, changes in ownership that do not result in loss of control are equity transactions."